

Finance & Customer Segment Analysis Project

Business Insights

1. Retail Customers Generate the Highest Revenue

- **Observation:** Retail customers contribute the highest transaction amount (₹248.08M), much higher than all other customer segments.
- **Key Driver:** Retail customers perform more high-value transactions than other customer segments.
- **Business Impact:** Revenue is highly dependent on one customer segment, increasing concentration risk.
- **Recommendation:** Launch loyalty and cross-selling campaigns for Premium and SME customers to increase their transaction value by 10% within the next 6 months, measured by Revenue per Customer and Segment Revenue.
- **Priority:** High
- **Expected Business Outcome:** Revenue Growth.

2. Transaction Success Rate Can Be Improved

- **Observation:** Transaction success rate is 85.74%, meaning around 14% of transactions are unsuccessful or pending.
- **Key Driver:** Failed and pending transactions reduce successful transaction completion.
- **Business Impact:** Lower customer satisfaction and potential revenue loss.
- **Recommendation:** Reduce failed and pending transactions by 5% within 3 months by monitoring transaction errors and improving payment processing. Track the Transaction Success Rate KPI.
- **Priority:** High
- **Expected Business Outcome:** Revenue Growth & Customer Retention.

3. South Region Delivers the Highest Revenue

- **Observation:** The South region (₹140.95M) generates the highest transaction amount, while the East region (₹22.23M) contributes the least.

- **Key Driver:** Higher customer activity and transaction volume in the South.
- **Business Impact:** Uneven regional performance limits overall business growth.
- **Recommendation:** Run targeted customer acquisition campaigns in the East region to increase transaction value by 15% within 6 months, measured through Regional Revenue.
- **Priority:** High
- **Expected Business Outcome:** Revenue Growth.

4. Loan EMI is the Most Profitable Transaction Type

- **Observation:** Loan EMI (₹130.93M) contributes the highest transaction amount among all transaction types.
- **Key Driver:** High customer demand and frequent EMI repayments.
- **Business Impact:** Loan EMI is a major contributor to overall business revenue.
- **Recommendation:** Promote EMI-related financial products and increase Loan EMI transactions by 10% within 6 months, measured by Loan EMI Revenue.
- **Priority:** High
- **Expected Business Outcome:** Revenue Growth.

5. Fraud Transactions Require Immediate Attention

- **Observation:** The dashboard reports 630 fraud transactions, with fraud occurring across all quarters.
- **Key Driver:** Fraud monitoring rules may not detect suspicious activities early enough.
- **Business Impact:** Increased financial losses and operational risk.
- **Recommendation:** Strengthen fraud detection rules and reduce fraud transactions by 20% within the next 6 months, measured using the Fraud Transactions KPI.
- **Priority:** High
- **Expected Business Outcome:** Risk Mitigation.

6. Physical Channels Dominate Transactions

- **Observation:** Around 85.6% of transactions are processed through Physical channels, while Digital contributes only 14.4%.
- **Key Driver:** Customers continue to prefer offline transaction channels.
- **Business Impact:** Higher operational costs and lower digital adoption.
- **Recommendation:** Increase digital transaction adoption to 20% within 6 months through customer awareness campaigns and digital incentives. Measure using the Digital Transaction Share.
- **Priority:** Medium
- **Expected Business Outcome:** Cost Reduction.

7. Weekday Transactions Significantly Outperform Weekend Transactions

- **Observation:** Weekday transaction volume is considerably higher than weekend activity.
- **Key Driver:** Customers perform most financial activities during business days.
- **Business Impact:** Weekend business opportunities remain underutilized.
- **Recommendation:** Launch weekend cashback or promotional offers to increase weekend transactions by 15% within 3 months, measured through Weekend Transaction Count.
- **Priority:** Medium
- **Expected Business Outcome:** Revenue Growth.

8. North and South Regions have the Largest Customer Base

- **Observation:** North (1,495) and South (1,493) regions have the highest customer counts, while the East has only 245 customers.
- **Key Driver:** Better customer acquisition and market presence in North and South.
- **Business Impact:** Customer growth potential remains untapped in the East region.
- **Recommendation:** Increase customer acquisition in the East by 20% within 6 months, measured using Total Customers by Region.
- **Priority:** High
- **Expected Business Outcome:** Customer Retention & Revenue Growth.

9. Gen X Represents the Largest Customer Generation

- **Observation:** Gen X (2,389 customers) is the largest customer generation compared to Millennials and Gen Z.
- **Key Driver:** Existing financial products are more attractive to older customer groups.
- **Business Impact:** Lower engagement from younger customers may affect long-term growth.
- **Recommendation:** Introduce digital-first financial products targeting Millennials and Gen Z to increase their customer base by 15% within 6 months, measured using Customer Count by Generation.
- **Priority:** Medium
- **Expected Business Outcome:** Customer Retention.

10. Customer Acquisition Declined Compared to Previous Year

- **Observation:** Customers joined decreased from 633 to 607, a decline of 4.11% YoY.
- **Key Driver:** Reduced customer acquisition during the current year.
- **Business Impact:** Slower customer growth may impact future revenue.
- **Recommendation:** Launch referral and marketing campaigns to increase new customer acquisition by 10% within the next two quarters, measured through the Customers Joined KPI.
- **Priority:** High
- **Expected Business Outcome:** Revenue Growth & Customer Retention.